

TENTATIVE RULINGS

DEPARTMENT N17

Judge Craig L. Griffin

Date: August 31, 2026

Time: 2:00 PM

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1	Mackovski vs. Costco Wholesale	Defendant Costco Wholesale Corporation's ("Defendant") Motion for Bifurcation ("Motion") is GRANTED. Defendant requests an order bifurcating trial into a liability phase and subsequent damages phase. Code of Civil Procedure, sections 598 & 1048(b) provide several criteria for the court to examine in reaching a determination whether to bifurcate trial, and trial of issues/causes of action. These include: (i) Elimination of unnecessary trials; (ii) The convenience of witnesses; (iii) The ends of justice; (iv) Economy and efficiency of handling the litigation; and (v) Avoidance of prejudice Defendant did not provide any arguments as to the first or third issues. The remaining issues support bifurcation. As to the convenience of witnesses, most of the identified witnesses appear to be medical providers who would opine on plaintiff Aleksandar Mackovski ("Plaintiff") damages, they would not opine on liability, nor is the extent of Plaintiff's injuries necessary to decide whether Defendant is liable. (<i>Kesner v. Superior Ct.</i> (2016) 1 Cal. 5th 1132, 1158.)

		Although again not argued by Defendant, the arguments Plaintiff made under the ends of justice issue support bifurcation as the arguments indicate Plaintiff hopes to appeal to juror emotion on the determination of liability. Avoidance of the emotional issue is why Defendant sees to bifurcate the matter. There is also likely no delay or need to empanel a new jury if liability on Defendant's part is found as the same jury can be used in the damages phase. Regarding economy and efficiency of litigation, if liability is not found then the issue of damages will not need to be presented saving all time. If Defendant is found liable, then it may promote settlement. (<i>Foreman & Clark Corp. v. Fallon</i> (1971) 3 Cal. 3d 875, 888 FN. 8.) As noted, the bifurcation would assist in avoiding prejudice as the jurors would not be privy to Plaintiff's injuries and would instead determine liability based upon the law. As more of the factors support bifurcation than do not, and as Plaintiff has not identified any real valid prejudice, the Motion is GRANTED. Defendant to give notice.
2	Bui v. Elliot	Cont.
3	Alois v. Volkswagen A.G.	O/C
4	Romero v. Melalma Apartments, LLC	Plaintiff Sofia E. Romero's unopposed motion to set aside and vacate the order voiding the complaint is GRANTED. Government Code section 88634 provides that if an application for a fee waiver is denied, the applicant must pay the filing fees within 10 days after the clerk gives notice of the denial, unless the applicant submits a new application or requests a hearing. If the applicant does not pay on time, the clerk must void the papers that were filed without payment. (Gov. Code, § 68634, subd. (g).) Plaintiff produced some evidence she did not receive the clerk's notice of the order denying the fee waiver. (Declaration of Sofia E. Romero ¶ 6; Declaration of Les V. Amponsah ¶ 5.) Defendant did not oppose the motion, thereby conceding the merits. (<i>Glendale Redevelopment Agency v. Parks</i> (1993) 18 Cal.App.4th 1409, 1424; <i>Nazir v. United Airlines, Inc.</i> (2009) 178 Cal.App.4th 243, 288.) The motion is therefore GRANTED and the Complaint filed on March 6, 2026 shall be reinstated as of the date of its original filing upon Plaintiff's payment of the filing fee.
5	Pichika vs. Provident Trust Group, LLC	A) Demurrer Defendant Provident Trust Group FBO Ira J. Boren, I.R.A.'s ("Defendant" for this ruling) demurrer to plaintiff Jayalakshmi Pichika's ("Plaintiff") Third Amended Complaint ("TAC") is SUSTAINED without leave to amend.

The court first notes Defendant combined two separate motions which seek two separate forms of relief, however Defendant only paid one filing fee. Defendant is ordered to pay the additional \$60 filing fee prior to the hearing.

The court also notes plaintiff did not file a proof of service of the opposition. Presumably the opposition was served as Defendant was able to file a timely reply brief. The court will consider the opposition at this time; Plaintiff is cautioned to file a proper proof of service in the future or risk her pleadings not being considered by the court.

Finally, the court notes Plaintiff improperly filed a very late sur-reply without prior permission, which does not afford Defendant the opportunity to respond. The court will disregard that filing. (CA ST CIVIL RULES Rule 3.1113(d))

As the court noted in its ruling on Plaintiff's Second Amended Complaint ("SAC"), with the exception of Defendant, Plaintiff omitted all previously identified defendants from the SAC and has been deemed to have dismissed them without prejudice. (*Kuperman v. Great Republic Life Ins. Co.* (1987) 195 Cal. App. 3d 943, 947.) Plaintiff did not move to add the previously dismissed parties and therefore only Defendant remains.

A demurrer challenges the defects appearing on the face of the pleading or from other matters properly subject to judicial notice. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The issue is the sufficiency of the pleading, not the truth of the facts alleged. Thus, no matter how unlikely or improbable, the allegations made must be accepted as true for the purpose of ruling on the demurrer. (*Del E. Webb Corporation v. Structural Materials Co.* (1981) 123 Cal.App.3d 593, 604.) Absent court orders or other items subject to judicial notice, or items attached as exhibits to the complaint, the court may not consider the contents of pleadings or other exhibits when ruling on a demurrer. (*Day v. Sharp* (1975) 50 Cal.3d 904, 914; *Sosinsky v. Grant* (1992) 6 Cal.App.4th 1746, 1749.) "In our examination of the complaint we are guided by the well settled principles governing the testing of its sufficiency by demurrer: A demurrer admits all material and issuable facts properly pleaded. [Citations omitted.] However, it does not admit contentions, deductions or conclusions of fact or law alleged therein. [Citations omitted.]" (*Daar v. Yellow Cab Co.* (1967) 67 Cal.2d 666, 672.)

Defendant demurs to the second, third, and fourth causes of action ("COA") on the basis that they fail to state sufficient facts. (Civ. Proc. Code § 430.10(e).)

1) COA No. 2 – Declaratory Relief Re: Violation Of California Usury Law By Unlicensed, Nevada Lender

"A loan is exempt from the usury law if the loan is "made or arranged by any person licensed as a real estate broker by the State of California and secured in whole or in part by liens on real property...." (Cal. Const., art. XV, § 1.) Broker "made" loans are

those in which the broker acts as a principal by lending the broker's own money. [Citation.] Broker "arranged" loans are those in which the broker acts as an intermediary and causes a loan to be obtained or procured as by structuring the loan as the agent for the lender, setting the interest rate and points to be paid, reviewing the loan and forbearance documents, conducting title searches, or drafting the terms of the loan." (*Creative Ventures, LLC v. Jim Ward & Assocs.* (2011) 195 Cal. App. 4th 1430, 1441–42.)

"[T]he exemption for making a loan applies even if the broker is not acting in a licensed capacity as when the broker is lending his or her own money. [Citation.] Thus, a loan by a broker at 250 percent interest was held exempt from the interest rate ceiling. (*Garcia v. Wetzel, supra*, 159 Cal.App.3d 1093, 1097-1098; see also *In re Lara, supra*, 731 F.2d 1455, 1458-1462 [loan by broker at over 15 percent interest exempt].) Presumably, the regulatory control over brokers is considered sufficient to deter and protect against the evils of usury and fraudulent, dishonest, or unfair practices by the lending broker." (*Del Mar v. Caspe* (1990) 222 Cal. App. 3d 1316, 1326–27.)

It should be noted that Plaintiff failed to include this COA in her SAC and the former demurrer to the SAC was proper. Plaintiff has now re-pled COA no. 2 with the same facts as in the First Amended Complaint ("FAC"). The COA fails again as no new facts have been pled.

Plaintiff alleged Defendant acted as an unlicensed lender in California in violation of Financial Code § 22750(b). (TAC p. 22:15-18; 24:12-14.) Despite notice from Plaintiff's (former) counsel and tender of funds, Defendant continued to demand unauthorized default interest, compounding interest, inflated fees, and other charges not authorized under the loan Note, Deed of Trust, or California law. (TAC p. 22:24-27.) Between January and December 2024, Plaintiff made six good-faith attempts to tender payment on the loan, but Defendant refused to provide payoff statements, issued inflated payoff demands, and obstructed refinancing and foreclosure avoidance efforts. (TAC p. 23:5-9.) As of 12/18/24, Plaintiff's alleged loan balance was \$615,000, but Defendant issued a credit bid of \$910,051.04 at foreclosure. (TAC p. 23:1-4.) Plaintiff alleges former defendant Provident Trust Group, LLC acted as an unlicensed lender in California and that defendants have forfeited all rights to collect on it. (TAC p. 24:17-19.)

Defendants have produced the real estate broker license of Ira Jay Boren showing license No. 00479781, which was initially issued on 02/14/86 and is set to expire 02/13/26. (RTJN, Ex. H.) The court may take judicial notice of official acts of any state administrative department including licenses issued by the state. (*C.R. v. Tenet Healthcare Corp.* (2009) 169 Cal. App. 4th 1094, 1102–03.) Because the money loaned ultimately belonged to Boren, the transaction is exempt from the usury laws.

The demurrer is **SUSTAINED** without leave to amend as the court previously notified Plaintiff she only had one additional chance to amend to sufficiently plead these COA.

2) COA No. 3 – Breach of the Implied Covenant of Good Faith and Fair Dealing

"There is no obligation to deal fairly or in good faith absent an existing contract. [Citation.] If there exists a contractual relationship between the parties. . . the implied covenant is limited to assuring compliance with the express terms of the contract, and cannot be extended to create obligations not contemplated in the contract." (*Racine & Laramie, Ltd. v. Dep't of Parks & Recreation* (1992)11 Cal. App. 4th 1026, 1032.) "If the allegations do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated. Thus, absent those limited cases where a breach of a consensual contract term is not claimed or alleged, the only justification for asserting a separate cause of action for breach of the implied covenant is to obtain a tort recovery." (*Careau & Co. v. Sec. Pac. Bus. Credit, Inc.* (1990) 222 Cal. App. 3d 1371, 1395.)

Plaintiff alleged breached the covenant by Issuing successive, mathematically impossible payoff demands, applying 24% default interest across the full principal and unauthorized compounding, creating over \$179,000 in fraudulent charges. (TAC p. 25:15-17.) Defendants also allegedly frustrated refinance and sales attempts by withholding accurate payoff statements and blocking tenders. (TAC p. 25:20-23.)

Plaintiff did not allege she fulfilled her obligations under the contract, did not allege she had a new lender for refinancing or who that was, did not allege any new lender required a pay-off statement, did not allege why Defendants were required to provide a "pay-off statement," did not allege she was attempting to sell the property and/or had actual buyers or why the buyers did not proceed, she did not allege she had the funds to cure the defaulted loan, and the facts regarding payoff demands/statements contradict themselves in the facts section.

Plaintiff has failed to plead sufficient facts to support this COA. (Civ. Proc. Code § 430.10(e).) The demurrer is **SUSTAINED** without leave to amend.

3) COA No. 4 – Unfair Competition (Violation of Bus. and Prof. Code § 17200 et. seq.)

"The California Unfair Competition Law ["UCL"] ([Bus. & Prof. Code] § 17200 et seq.) defines "unfair competition" as "any unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising."" (*Graham v. Bank of America, N.A.* (2014) 226 Cal.App.4th 594, 609.)

"In contrast to its limited remedies, the unfair competition law's scope is broad. The unfair competition law's scope is broad. Unlike the Unfair Practices Act, it does not proscribe specific practices. Rather, as relevant here, it defines "unfair competition" to include "any unlawful, unfair or fraudulent business act or practice." [Citation.] Its coverage is "sweeping, embracing ' "anything that can properly be called a business practice and that at the same time is forbidden by law." ' " [Citations.] It governs "anti-competitive business practices" as well as injuries to consumers, and has as a major purpose "the preservation of fair business competition." [Citations.] By proscribing "any unlawful" business practice, "section 17200 'borrows' violations of other laws and treats them as unlawful practices" that the unfair competition law makes independently actionable. [Citations.] [¶] However, the law does more than just borrow. The statutory language referring to "any unlawful, unfair or fraudulent" practice (*italics added*) makes clear that a practice may be deemed unfair even if not specifically proscribed by some other law. "Because Business and Professions Code section 17200 is written in the disjunctive, it establishes three varieties of unfair competition-acts or practices which are unlawful, or unfair, or fraudulent. 'In other words, a practice is prohibited as "unfair" or "deceptive" even if not "unlawful" and vice versa.'" (*Cel-Tech Commc'ns, Inc. v. Los Angeles Cellular Tel. Co.* (1999) 20 Cal. 4th 163, 180.)

Plaintiff cited to eight or so code sections which she contends Defendant violated, but provided no specific facts to support violations of any specific code section. Plaintiff also appears to improperly be seeking damages on behalf of her son and husband for actions Defendant allegedly took. Plaintiff states dependent abuse and forcible removal of her son with severe mental illness, despite Plaintiff alleging her son only became permanently disabled following the alleged lockout. Plaintiff contends Defendant unfairly demanded over \$179,000 in fraudulent interest and fees despite elsewhere stating she owed \$110,000 in interest alone, which based upon the \$4,995.83 monthly payment she was required to make, suggest she did not make loan payments for almost two years, which would include late fees of some sort. Plaintiff claims Defendant fraudulently induced Plaintiff to dismiss active litigation and refrain from seeking injunctive relief, despite this case being ongoing and Plaintiff seeking a preliminary injunction which was denied. (ROA 75.) To the extent Plaintiff meant different litigation or injunction, Plaintiff has not identified either. Plaintiff also improperly made legal conclusions without supporting them with facts, or providing contradictory or incomplete facts throughout the TAC.

The demurrer is **SUSTAINED** without leave to amend.

A) Motion to Strike

Defendant moves to strike the fraud elements (TAC p. 21:5-10) in the first COA on the basis that the court did not grant Plaintiff leave to amend to add fraud. (Civ. Proc. Code § 436(b).) The court noted that Plaintiff completely left out COA no. 1 from the SAC and permitted a final leave to amend to re-include it with the TAC. (ROA

		236.) In doing so, the court did not grant Plaintiff leave to add fraud. The motion is GRANTED without leave to amend. Defendant to give notice.
6	Au v. Dlliot	Cont.
7	Stroud v. Hurd-Russell	Before the Court is a special motion to strike pursuant to Code of Civil Procedure section 425.16 filed by defendants Kendal Hurd-Russell and Kyle Hurd (Defendants) as to the complaint filed by plaintiff Brian Stroud (Plaintiff). For the reasons set forth below, the motion is GRANTED as to paragraphs 12, 13, 21, 22, 24, 26-28, 33, 34, 36, 37, 41-43, 45, 50, 52 of the Complaint, the 1st cause of action and the 2nd causes of action; the motion is DENIED as to paragraphs 23, 35, 49, 51, 53, the 3rd cause of action and 4th cause of action. Plaintiff's evidentiary objection is OVERRULED as to no. 16. The Court declines to rule on all other evidentiary objections because the evidence was not material to the Court's analysis. The Court also declines to rule on Defendant's evidentiary objections for the same reason. In ruling on a special motion to strike under Section 425.16, the court must follow a two-step process. (<i>Baral v. Schnitt</i> (2016) 1 Cal.5th 376, 384-385.) First, the court determines if the party moving to strike a cause of action has shown that the cause of action arises from an act in furtherance of the moving party's right of petition or free speech. (<i>Ibid.</i>) If the moving party makes the showing required in the first step, the court then determines whether the non-moving party has demonstrated a probability of prevailing on the claim. (<i>Navellier v. Sletten</i> (2002) 29 Cal.4th 82, 88.) "[T]he moving defendant bears the burden of identifying all allegations of protected activity, and the claims for relief supported by them. When relief is sought based on allegations of both protected and unprotected activity, the unprotected activity is disregarded at this stage. If the court determines that relief is sought based on allegations arising from activity protected by the statute, the second step is reached. There, the burden shifts to the plaintiff to demonstrate that each challenged claim based on protected activity is legally sufficient and factually substantiated. The court, without resolving evidentiary conflicts, must determine whether the plaintiff's showing, if accepted by the trier of fact, would be sufficient to sustain a favorable judgment. If not, the claim is stricken. Allegations of protected activity supporting the stricken claim are eliminated from the complaint, unless they also support a distinct claim on which the plaintiff has shown a probability of prevailing." (<i>Baral v. Schnitt, supra</i>, 1 Cal.5th 376 at p. 396.) 1. Protected Activity Defendants met their burden the allegations regarding the complaint to the Commission on Peace Officer Standards and Training (POST),

		the Public Records Act request, POST complaint follow-up to city officials and chief of police, and the police report submitted to the Orange County Sheriff's Department (Compl. ¶¶ 12, 13, 21, 22, 24, 26-28, 33, 34, 36, 37, 41-43, 45, 50, 52) are protected activity under the anti-SLAPP statute. (Code of Civ. Proc. § 425.16, subd. (e)(1),(2); see also <i>Walker v. Kiousis</i> (2001) 93 Cal.App.4th 1432, 1439; <i>Chabak v. Monry</i> (2007) 154 Cal.App.4th 1502, 1512; <i>Briggs v. Eden Council for Hope & Opportunity</i> (1999) 19 Cal.4th 1106, 1115; <i>DuPont Merck Pharmaceutical Co. v. Sup. Ct.</i> (2000) 78 Cal.App.4th 562, 566.) Plaintiffs' claim for abuse of administrative process and defamation rely exclusively on these allegations. (Compl. ¶¶ 55, 61.) These allegations also support, in part, Plaintiffs' claims for civil harassment and aiding and abetting. (Compl. ¶¶ 68, 77.) The burden therefore shifts to Plaintiff to show probability of success on the merits of these claims, including producing admissible evidence sufficient to overcome any privilege or defense. (<i>Flatley v. Mauro</i> (2006) 39 Cal.4th 299, 323.) Defendants are correct the litigation privilege under Civil Code section 47, subdivision (b)(2) bars all of Plaintiff's claims arising out of the protected activity. (<i>McNair v. City and County of San Francisco</i> (2016) 5 Cal.App.5th 1154, 1164 ["An absolute privilege exists to protect citizens from the threat of litigation for communications to government agencies whose function it is to investigate and remedy wrongdoing"]; <i>Bonni v. St. Joseph Health System</i> (2022) 83 Cal.App.5th 288, 300-301 [litigation privilege applies regardless of whether the communications at issue were made with malice or intent to harm].) Plaintiff failed to overcome the privilege. The Court therefore strikes paragraphs 12, 13, 21, 22, 24, 26-28, 33, 34, 36, 37, 41-43, 45, 50, 52, the 1st and 2nd causes of action. 2. Activity Not Protected by Anti-SLAPP statute Defendants failed to show the remaining allegations, including the middle finger incident, the threat to defame Plaintiff in the media, and miscellaneous allegations (Comp. ¶¶ 23, 35, 49, 51, 53) arise out of any protected activity. These allegations continue to support the 3rd and 4th causes of action. Defendants' having failed to meet their moving burden, the burden never shifts to Plaintiff to show probability of success on the merits. The motion is therefore DENIED as to paragraphs 23, 35, 49, 51, 53, the 3rd cause of action and 4th cause of action. Counsel for Defendants shall give notice of this ruling.
8	Catanzarite v. City of Newport Beach	Cont.
9	McRae v. National General Insurance, et. al.	The Demurrer by defendants Integon National Insurance Company (Integon) and Jackie Nash to the 3 rd – 5 th causes of action in the first amended complaint (FAC) filed by Plaintiff Willie Rae McRae, Jr. is SUSTAINED, without leave to amend.

3rd Cause of Action – Fraud; 5th Cause of Action – Negligent Misrepresentation

The elements of fraud are: "(a) [a] misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or "scienter"); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage." (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638) The elements of a negligent misrepresentation cause of action are the same as the ones for fraud except for the requirement of scienter. (*Bains v. Moores* (2009) 172 Cal.App.4th 445, 454.) In a claim for negligent misrepresentation, the plaintiff need not allege that the defendant made an intentionally false statement, but simply one as to which he or she lacked any reasonable ground for believing the statement to be true. (*Ibid.*)

"Fraud allegations 'involve a serious attack on character' and therefore are pleaded with specificity. [Citation.] General and conclusory allegations are insufficient. [Citation.] The particularity requirement demands that a plaintiff plead facts which show how, when, where, to whom, and by what means the representations were tendered. [Citation.]" (*Cansino v. Bank of Am.* (2014) 224 Cal.App.4th 1462, 1469.) This is to provide the defendant with notice and to give the court enough information to assess whether there is a foundation for the charge of fraud. (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 216.)

Here, the alleged misrepresentations are listed in paragraph 49(a)-(l) of the FAC. These factual allegations are insufficient. For all of the alleged misrepresentations, there is no date on which they were made other than the general assertion they began "in or about August 2024." (FAC ¶49) Also, many of the "misrepresentations" are only vague assertions. For example, ¶49(a) refers to "repeated and constant misrepresentations" about benefits without providing detail. Para. 49(b) refers to "misrepresentations designed to create new and different obstacles to processing" without detail.

Further, some of the statements vaguely refer to opinions of value of the claim which are not actionable. (See, *Gentry v. eBay, Inc.* (2002) 99 Cal. App. 4th 816, 835) For example, "minimizing the nature and extent of plaintiff's injuries" (¶49(d)), stating an opinion of value (¶49(f)) and standing by a settlement offer (¶49(g)) are not misrepresentations of fact. While plaintiff alleges a dissatisfaction with the claims handling process, the identified "misrepresentations" are insufficient to state a cause of action for fraud.

Moreover, the allegations of reliance are vague. Plaintiff alleges that because of the foregoing "misrepresentations" he delayed prosecution of his case and surgery. (FAC ¶53) There is no explanation as to what misrepresentation of fact caused him to delay a surgery or when such occurred.

		Accordingly the demurrer to the 3rd and 5th causes of action is SUSTAINED, without leave to amend. <u>4th Cause of Action - Intentional Infliction of Emotional Distress</u> The elements of a cause of action for intentional infliction of emotional distress are that: (1) defendant engaged in extreme and outrageous conduct; (2) with the intent to cause, or with reckless disregard to the probability of causing, emotional distress; and (3) as a result, plaintiff suffered extreme or severe emotional distress. (Potter v. Firestone Tire & Rubber Co. (1993) 6 Cal.4th 965, 1001) Defendants allege outrageous conduct has not been alleged. Plaintiff concedes that "delay or denial alone is not sufficiently outrageous." (Opp. at 7:14-16, citing <i>Coleman v. Republic Indem. Ins. Co.</i>, 132 Cal. App. 4th 403.) However, plaintiff claims the new allegations included in the FAC which demonstrate outrageous conduct are that the defendants "demanded records and an Examination Under Oath while threatening to "pull coverage" and threatening criminal prosecution" to coerce settlement. (Opp. at 7:7-8) Plaintiff points to three paragraphs in the FAC (49(d), 49(g) and 65) to demonstrate outrageous conduct. First, these allegations are very vague. Second, the fact that an expert hired by an insurer is biased is hardly surprising and not outrageous conduct. Third, demanding documents and an examination under oath (EUO) are not unusual. Further, a threat to "pull coverage" is a normal result if the insured is unwilling to provide information about the claim or submit to an EUO. Finally, the fact plaintiff was advised that submitting a fraudulent claim may result in criminal prosecution is not sufficient to state a claim for intentional infliction of emotional distress. (See FAC ¶18) Accordingly, the demurrer to the 4th cause of action for Intentional Infliction of Emotional Distress is SUSTAINED without leave to amend. Integon shall give notice.
10	Wyant v. Marks	Cont.
11	Medina vs. American Multi-Cinema Inc.	Defendant American Multi-Cinema Inc.'s ("AMC") motion to strike punitive damages language from plaintiff Raul Medina's ("Plaintiff") First Amended Complaint ("FAC") is GRANTED. "Any party, within the time allowed to respond to a pleading may serve and file a notice of motion to strike the whole or any part thereof. . ." (Civ. Proc. Code § 435(b)(1).) "The court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper: (a) Strike out any irrelevant, false, or improper matter inserted in any pleading." (Civ. Proc. Code § 436(a).) Regarding punitive damages under Civ. Code § 3294: "(a) In an action for the breach of an obligation not arising from contract,

		where it is proven by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice, the plaintiff, in addition to the actual damages, may recover damages for the sake of example and by way of punishing the defendant. . .” (Civ. Code § 3294.) There are no facts alleged in the FAC which might support the oppression, fraud, or malice required for punitive damages under Civ. Code § 3294. Further, “[w]hen nondeliberate injury is charged, allegations that the defendant's conduct was wrongful, willful, wanton, reckless or unlawful do not support a claim for exemplary damages; such allegations do not charge malice. [Citations.]” (<i>Smith v. Superior Ct.</i> (1992) 10 Cal. App. 4th 1033, 1041.) As there are no facts to support the requested punitive damages, the motion to strike is granted. Plaintiff is given leave to file an amended complaint within 14 days of written notice of the ruling. Defendant to give notice.
12	Jahangiri v. Vahidramezani	The motion for judgment on the pleadings is DENIED. “An accounting is an equitable proceeding which is proper where there is an unliquidated and unascertained amount owing that cannot be determined without an examination of the debits and credits on the books to determine what is due and owing. Equitable principles govern, and the plaintiff must show the legal remedy is inadequate. Generally, an underlying fiduciary relationship, such as a partnership, will support an accounting, but the action does not lie merely because the books and records are complex. <i>Some underlying misconduct on the part of the defendant must be shown to invoke the right to this equitable remedy.</i>” <i>Valley Landowners Assn. v. City of Vallejo</i> (2015) 241 Cal.App.4th 425, 442-443 (Emphasis added.) Here, as a shareholder with co-equal control over the KWS, Jahangiri owed Vahidramezani fiduciary duties, and the latter has alleged underlying misconduct. The 13th cause of action for accounting incorporates by reference each of the preceding allegations of the FAC, which include significant allegations that Jahangiri had breached his fiduciary duties to both KWS and Vahidramezani. True, the non-accounting causes of action asserting these allegations were dismissed upon demurrer without leave to amend based on the fact they were derivative, rather than direct claims. But the Court did not pass on the truth of the allegations and indicated that its ruling on demurrer was without prejudice. More importantly, the Court held that the 13th cause of action was a direct, not derivative, cause of action.

A court has broad powers in an accounting to determine the amounts owed to shareholders in a close corporation upon its dissolution. "After hearing the court may decree a winding up and dissolution of the corporation if cause therefor is shown or, with or without winding up and dissolution, may make such orders and decrees and issue such injunctions in the case as justice and equity require." Corp. Code § 1804.

'In an action for an accounting, the court not only has the power, but is required, to take into account both sides of the ledger, the debits as well as the credits. Since the action is equitable in nature, a plaintiff may be required to do equity and credit the defendant with anything that may be found to be due him. Under the principle that wherever equity assumes jurisdiction it will award full relief, an action for accounting may constitute an exception to the general rule in equity that affirmative relief will not be granted a defendant unless he asks for it by cross bill or counterclaim.'

Chapin v. Gritton (1960) 178 Cal.App.2d 551, 568. The powers of the Court to do equity in connection with an accounting are particularly broad when an accounting cause of action is paired with a claim for dissolution. Indeed, in *Howard v. Data Storage Assocs., Inc.* (1981) 125 Cal.App.3d 689, the Court of Appeal recognized the authority of the trial court to order an accounting and surcharge a nonparty based upon a shareholder's complaint seeking only dissolution of a corporation.

In *Chapin*, the plaintiff, one of three shareholders of a closely held corporation, filed an "Amended Complaint for Accounting and Injunction; for Appointment of Receiver; and to Dissolve a Corporation." *Id.* at 554. After the parties stipulated to the facts supporting the dissolution, the Court issued its judgment, in which the Court dissolved the corporation and ordered the plaintiff to pay money to the defendants due to a finding that the plaintiff took improper distributions from the company and misdirected money intended for the company to himself. The plaintiff asserted that as the defendants had not filed a cross-complaint, the court could not hold the plaintiff liable to them. The Court of Appeal in *Chapin* disagreed, noting, "The court has inherent power in an accounting action to award full relief to all parties." *Id.* at 568.

Citing *Chapin* for the proposition that the court has inherent power in a accounting action to award full relief to the parties, the Court of Appeal in *Combs v. Haddock* (1961) 190 Cal.App.2d 151, 175 observed:

'Equity does nothing by halves, but gives full relief in such cases. When it undertakes to adjust the differences between partners, it adjusts them all. 'The whole subject matter in controversy between the parties, which includes all the partnership transactions of each and all the partners, is the subject of the adjudication; and the account and decree must include all these matters, and

leave nothing open for future litigation or controversy. Equity will not adjudicate causes piecemeal."

Accordingly, although Vahidramezani may not collect damages on behalf of the corporation absent a derivative action, the Court may consider all of the facts and circumstances in equitably determining how much is owed to each of the parties in the winding up the corporation.

Janhangiri argues that an accounting cause of action cannot stand alone:

"The right to an accounting is derivative and depends on the validity of a plaintiff's underlying claims." *Duggal v. G.E. Capital Communications Services, Inc.* (2000) 81 Cal.App.4th 81, 95. If the underlying claims fail, the reliant accounting claims must also fail. *Janis v. California State Lottery Com.* (1998) 68 Cal.App.4th 824, 834."

But the cases Janhangiri cites are distinguishable from the present situation. In *Dugai*, the court had expressly found that the underlying claims of wrongdoing were meritless, as follows:

"The right to an accounting is derivative and depends on the validity of a plaintiff's underlying claims. *Because the only other cause of action against ATT and GE was barred by the filed rate doctrine, appellants' 12th cause of action for an accounting must fail.* (*Janis v. California State Lottery Com.* (1998) 68 Cal.App.4th 824, 833-834 [80 Cal.Rptr.2d 549].).

Duggal v. G.E. Cap. Commc'ns Servs., Inc., (2000) 81 Cal.App.4th 81, 95 (Emphasis added.). Similarly, in *Janis v. California State Lottery Com.* (1998) 68 Cal.App.4th 824, 833-834, the Court of Appeal held:

"Janis's sole remaining cause of action was for an accounting. A right to an accounting is derivative; it must be based on other claims. (*Union Bank v. Superior Court* (1995) 31 Cal.App.4th 573, 593-594 [37 Cal.Rptr.2d 653].) Here, because all of Janis's other claims fail, so too does the one for an accounting."

In reaching this conclusion, the Court of Appeal in *Janis* had determined that each of the other claims upon which the accounting was based failed on the grounds of, respectively, immunity, standing, and the failure to exhaust administrative remedies.

As apparent above, *Dugai* relies on *Janis*, and *Janis* relies on *Union Bank v. Superior Ct.* (1994) 31 Cal. App. 4th 573, 593. *Union Bank* is instructive. Rather than holding that a standalone cause of action for accounting cannot exist, it recognized that with proper

		allegations, it may be pleaded in a complaint with no other causes of action, as follows: “The sole remaining cause of action was for an accounting. The grounds alleged in the accounting cause of action were that: there was a breach of fiduciary duty; the accounts were complicated; and fraud. These are proper grounds for an accounting. (<i>Smith v. Blodget</i> (1921) 187 Cal. 235, 242 [201 P 584] [fiduciary relationship]; <i>Civic Western Corp. v. Zila Industries, Inc.</i> (1977) 66 Cal.App.3d 1, 14 [135 Cal.Rptr. 915] [complicated accounts when there is a dispute as to whether money is owed]; <i>Fairbairn v. Fairbairn</i> (1961) 194 Cal.App.2d 501, 513 [15 Cal.Rptr. 548] [fraud].)” But the accounting claim in <i>Union Bank</i> failed because it had been conclusively proven that the defendant did not commit fraud or breach of fiduciary duty. As noted above, this Court has not made any factual determination regarding the merits of Vahidramezani’s claims of self-dealing and breach of fiduciary duty on the part of Jahangiri. Accordingly, the 13th cause of action for accounting may stand. Clerk to give notice of this ruling.
13	Cornejo v. Schoolsfirst Federal Credit union	Cont.
14	Padilla v. Strawn	O/C
15	Kashani v. Huntington	no tentative
16	Catanzarite v. City of Newport Beach	Before the Court are the following motions: (1) demurrer of respondents City of Newport Beach and City Council of the City of Newport Beach (collectively, City) directed to the verified petition for writ of mandate and for writ of administrative mandamus (Petition) filed by petitioners Kenneth J. Catanzarite and Kim E. Catanzarite (collectively, Petitioners); and (2) demurrer of real parties in interest FPV II Partnership, Lawry’s Restaurants, Inc., and Ryan O. Wilson (collectively, Real Parties) directed to the Petition. For the reasons set forth below, the demurrers are OVERRULED. The City and Real Parties are ordered to file their answers to the Petition within 20 days. <u>City’s Demurrer (ROA 58)</u> The City argues the Petition is moot because the limited term permit (LTP) at issue in this lawsuit was voluntarily surrendered by Real Parties, and the City accepted that surrender effective December 10, 2025. “A case is considered moot when the question addressed was at one time a live issue in the case but has been deprived of life because of

events occurring after the judicial process was initiated. The pivotal question in determining if a case is moot is therefore whether the court can grant the plaintiff any effectual relief.” (*Cohen v. Superior Court* (2024) 102 Cal.App.5th 706, 714 [internal citations and quotations omitted]; see also, *Lincoln Place Tenants Assn. v. City of Los Angeles* (2007) 155 Cal.App.4th 425, 454 [“[A] case becomes moot when a court ruling can have no practical effect or cannot provide the parties with effective relief.”].)

Although it is undisputed the LTP has been surrendered, there is nothing presented showing that Resolution No. 2025-18, by which the City approved Real Parties’ LTP application, has been rescinded or that the findings therein no longer have any force or effect. The Petition here seeks issuance of a writ of mandate directing the City to not only vacate the decision granting Real Parties the LTP, but to vacate and set aside Resolution No. 2025-18. (See Petition, Prayer for Relief, ¶¶ 1, 3.) As Petitioners point out, Resolution No. 2025-18 sets forth numerous findings and determinations regarding the outdoor dining area of the Five Crowns restaurant and its impacts on surrounding neighborhoods. (See Petition, Ex. 6.) The City has not shown how surrender of the LTP renders these findings and determinations a nullity or that these findings cannot be used in later proceedings involving the same parties and properties at issue. The City simply states summarily that the findings set forth in Resolution 2025-18 are irrelevant now that the LTP has been surrendered. But no authority or evidence is offered to support this contention.

The City also fails to sufficiently show how considering the merits of the Petition as it relates to Resolution No. 2025-18 is tantamount to issuing an advisory opinion on a different administrative proceeding. The Court would not be making a ruling or findings concerning any separate administrative proceeding. The Court would be issuing an order as to whether the City acted within its discretion in adopting Resolution No. 2025-18.

The authorities cited by the City in the reply are distinguishable and do not support the conclusion these proceedings are moot. (See *Sturgell v. Department of Fish & Wildlife* (2019) 43 Cal.App.5th 35; *Goldman v. Santa Barbara County* (1962) 203 Cal.App.2d 454.) The City has cited no authority addressing the issue of whether surrender of a land use permit renders a mandamus proceeding directed to both the permit and a related resolution moot.

The City has not shown that all of the relief sought in the Petition is mooted by the surrender of the LTP as the City failed to show that vacatur of Resolution No. 2025-18 would have no legal or practical effect. Even if some of the relief sought is no longer available, this would not support sustaining the demurrer. “Ordinarily, a general demurrer does not lie as to a portion of a cause of action and if any part of a cause of action is properly pleaded, the demurrer will be overruled.” (*Elder v. Pacific Bell Telephone Co.* (2012) 205 Cal.App.4th 841, 856 fn 14.)

Moreover, even if the surrender of the LTP rendered this case moot, the Court has discretion to consider the merits because the parties' dispute over Five Crowns' outdoor operations is likely to recur. When there may be a recurrence of the controversy between the parties, the court may exercise its discretion to decide the merits. (*Environmental Charter High School v. Centinela Valley Union High School Dist.* (2004) 122 Cal.App.4th 139, 144 [discussing three discretionary exceptions to the rules regarding mootness].) The City concedes in its reply that Real Parties have sought a conditional use permit for their property which application is currently pending. (See Reply at p. 4:8-13.) As such, the controversy between the parties concerning the subject property and its outdoor operations is likely to recur.

Based on the foregoing, the demurrer is **OVERRULED**.

The City's request for judicial notice is **GRANTED**. (Evid. Code § 452(d).)

Real Parties' Demurrer (ROA 61)

Mootness: Like the City, Real Parties contend the Petition is moot because the LTP has been voluntarily relinquished and is no longer in effect, and therefore the Court cannot grant Petitioners any effective relief in connection with the Petition. Real Parties raise essentially the same arguments as the City and cite to the same authorities pertaining to mootness, with the exception of *Long v. Hultberg* (1972) 27 Cal.App.3d 606, which was not cited by the City. *Long*, however, involves a different factual scenario and is thus distinguishable.

Accordingly, Real Parties' demurrer based on mootness fails for the same reasons the City's demurrer based on mootness fails. The demurrer on this ground is therefore **OVERRULED**.

Due Process: In addition to mootness, Real Parties argue Petitioners failed to plead a procedural or substantive due process violation. Petitioners allege denial of procedural and substantive due process in connection with the third cause of action.

"The concept of 'due process of law' guarantees both procedural and substantive rights." (*Bottini v. City of San Diego* (2018) 27 Cal.App.5th 281, 315, citing *Rental Housing Owners Assn. of Southern Alameda County, Inc. v. City of Hayward* (2011) 200 Cal.App.4th 81, 93 (*Hayward*).) The foundational requirements of procedural due process include notice and an opportunity to be heard before depriving a party of a protected liberty or property interest. (*Ibid.*, citing *Alviso v. Sonoma County Sheriff's Dept.* (2010) 186 Cal.App.4th 198, 209.) Substantive due process protects against "arbitrary legislative action." (*Bottini*, supra, 27 Cal.App.5th at 315, citing *Hayward*, supra, 200 Cal.App.4th at 93.)

As to substantive due process, Real Parties argue summarily that Petitioners' allegations concerning "unspecified ex parte communications" do not rise to the level of an arbitrary legislative

		action. However, the due process claim is not based solely on allegations that the City engaged in ex parte communications with Real Parties. The Petition also alleges that the City violated Petitioners' due process rights by "failing to give due consideration to any of the evidence PETITIONERS presented" and "by predetermining the matter, failing to seriously consider or deliberate on the matter, all of which gave FIVE CROWNS an unfair and improper advantage over PETITIONERS in the proceedings, and rendered the public proceedings a sham." (Petition, ¶ 100.) The Petition also alleges the City materially altered Real Parties' permit application contrary to the Notice of Hearing and after public comment closed. (Petition, ¶¶ 64-67.) Real Parties fail to explain, or cite evidence demonstrating, how the foregoing allegations cannot support a substantive due process claim. The demurrer on this ground is thus not well-taken. Because the substantive due process claim remains viable, the court need not reach Real Parties' argument pertaining to procedural due process. (See <i>Elder v. Pacific Bell Telephone Co.</i> (2012) 205 Cal.App.4th 841, 856 fn 14 [general demurrer does not lie as to a portion of a cause of action].) The demurrer directed to the due process claim is thus OVERRULED. Real Parties' request for judicial notice as to Exhibit 1 is GRANTED as to the existence of and legal effects of the records, but not as to the truth of any disputed facts asserted therein. (Ev. Code §452(d); <i>Fontenot v. Wells Fargo Bank, NA</i> (2011) 198 Cal.App.4th 256, 264; <i>Arce v. Kaiser Foundation Health Plan, Inc.</i> (2010) 181 Cal.App.4th 471, 482.) Real Parties' request for judicial notice as to Exhibits 2 and 3 is DENIED as the records are not relevant to the disposition of the motion. (<i>Center for Community Action & Environmental Justice v. City of Moreno Valley</i> (2018) 26 Cal.App.5th 689, 695, fn 4 [declining to take judicial notice of records not necessary for court's analysis].) Counsel for Petitioners shall give notice of these rulings.
17	City of Garden Grove v. Weber	No tentative.
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